

ARTHUR CRUMP

When British native Arthur Crump's *The Theory of Stock Exchange Speculation* reached the shores of the United States in the late 1870s, it was so highly thought of that at least two American publishers put out their own editions. As one editor noted, "Few subjects have been responsible for more printed nonsense than stock speculation. . . . *The Theory of Stock Speculation*, by Mr. Crump, an Englishman, is herewith reprinted as perhaps the sanest consideration of the subject that has been written." Crump, a former bank manager with the Bank of England turned speculator on the London Stock Exchange, wrote a number of books and pamphlets on investing, currencies, and money markets.

Part of Crump's sane advice included striking metaphors—for example, in advising novice investors to seek professional help, he wrote, "A mountain climber who disclaims the aid of a guide, and is subsequently fished out of a crevasse, can expect no other epitaph, even from his friends, than that he has paid the deserved penalty of extreme temerity and folly." But even when seeking help you must be careful, Crump warned, because "People seldom tell of their losses." Crump's warnings were for good reason: In 1870, the Franco-German war threw the London markets into chaos and prices collapsed. On the other hand, the introduction of telegraphic facilities at the exchange in 1872 was a major step forward, making information more accessible. More information meant less swindling and fewer bogus "tips."

For Crump, the foremost requirement for successful investing is to be even-tempered. The investor, he said, must be cool under fire and "should have the power of calling forth emotions which are opposite of those commonly manifested under given circumstances." Taking it a step further, he believed that the investor "must have a concrete hardness of indifference" and must even consider himself somewhat of a bandit who is willing to ambush his adversary without remorse. Of course, the investor must also be a student, which, according to Crump, involves more than financial skills. In *The Importance of Special Knowledge*, he explains why a thorough understanding of the weather is critical to understanding market swings.